to ‘grease the wheels’ of the economy – a feeling of getting richer (let it be illusory itself!).

MORAL HAZARD

One among the two kinds of market failure often associated with the insurance sector. It means that the people with insurance cover may take greater risks than the uncovered ones as they know they are protected so the insurer may get more claims it bargained for. the other kind of market failure is the *adverse selections* also related to insurance business.

MOST FAVOURED NATION

As per the WTO agreements, member countries cannot *normally* discriminate between their trading partners. If any country grants one country a special favour such as a lower customs duty rate for one of their products the same would need to be extended to all other WTO members. This principle is known as Most Favoured Nation (MFN) treatment.

MFN is governs trade in ***goods***. MFN is also a priority in the General Agreement on Trade in ***Services*** (GATS) and the Agreement on Trade-Related Aspects of ***Intellectual Property*** Rights (TRIPS). However, there are some *exceptions* under WTO regime which allow mwmber countries to –

(i) Set up a ‘free trade agreemen’t that applies only to *goods* traded within the group (discriminating against goods from outside).

(ii) Give developing countries special access to their markets.

(iii) Raise barriers against products that are considered to be traded unfairly from specific countries.

(iv) To discriminate, in limited circumstances, in services.

But the agreements only permit these exceptions under strict conditions. In general, MFN means that every time a country lowers a trade barrier or opens up a market, it has to do so for the same goods or services for all its trading partners whether developed or developing.